

PORTFOLIO RISK POLICY

Version 1.0 - Example / Training Document

Purpose. This document defines the market-risk limits and monitoring rules used by the example investment portfolio. It is intentionally simple and is designed for testing a retrieval-augmented portfolio risk agent.

Important. This is a fictional policy created for software development and education. It is not investment, legal, regulatory, or compliance advice.

Policy owner	Risk Management
Review frequency	Annual or after a material strategy change
Effective date	1 January 2026
Applies to	The consolidated investment portfolio

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1. Scope and Measurement Conventions

1.1 Portfolio snapshot. Unless a rule explicitly states otherwise, portfolio risk metrics shall be evaluated using the portfolio snapshot effective on the evaluation date. If no portfolio change was recorded on that date, the latest snapshot available on or before the evaluation date shall be used.

1.2 Historical market data. Market data used in any historical calculation shall end on the portfolio evaluation date. Data observed after that date must not be used. This requirement is intended to avoid look-ahead bias.

1.3 Default evaluation date. If an evaluation date is not specified, the latest available portfolio snapshot shall be used.

1.4 Deterministic calculations. Risk metrics used for compliance decisions shall be produced by approved deterministic calculation functions. A language model may select tools, retrieve policy text, compare results with limits, and explain conclusions, but it must not invent or manually approximate the underlying risk metrics.

1.5 Maximum drawdown exception. Maximum drawdown is a path-dependent metric and shall not be calculated from one static portfolio snapshot. It must follow the actual portfolio path, applying each recorded portfolio weight configuration over the period in which that configuration was effective.

The conventions in this section apply to volatility, Value at Risk (VaR), asset correlations, risk contribution, stress testing, and maximum drawdown unless a later section states a more specific rule.

2. Market Risk Limits

The following limits are hard compliance limits unless explicitly described as monitoring thresholds.

Metric	Policy limit	Rule
Annualized portfolio volatility	20.0%	Portfolio volatility must be less than or equal to 20.0%.
1-day historical VaR, 95% confidence	2.5% of portfolio value	Historical VaR at 95% confidence must be less than or equal to 2.5%.
1-day historical VaR, 99% confidence	4.0% of portfolio value	Historical VaR at 99% confidence must be less than or equal to 4.0%.
Largest single-asset percentage risk contribution	40.0%	No individual asset may contribute more than 40.0% of total portfolio risk.

2.1 Volatility. Annualized portfolio volatility above 20.0% is a policy breach.

2.2 Historical VaR. Both the 95% and 99% one-day historical VaR limits apply. A breach at either confidence level is sufficient for the portfolio to be classified as non-compliant.

2.3 Risk contribution concentration. Percentage risk contribution shall be used for this test. If the largest asset risk contribution exceeds 40.0% of total portfolio risk, the portfolio is in breach.

2.4 Correlation monitoring. Asset correlations are a monitoring metric rather than a hard compliance limit in this version of the policy. Pairwise correlation above 0.85 should be highlighted to the risk manager as a concentration warning, but by itself does not make the portfolio non-compliant.

3. Stress Testing

3.1 Required scenario. The portfolio shall be tested against a uniform equity shock in which every asset in the evaluated portfolio experiences an instantaneous return of -15%.

3.2 Stress-loss limit. The estimated portfolio loss under the required -15% uniform shock must not exceed 12.0% of portfolio value. A stress loss greater than 12.0% is a policy breach.

3.3 Snapshot convention. Stress testing uses the portfolio snapshot effective on the requested evaluation date, according to Section 1.1.

4. Drawdown Monitoring

4.1 Maximum drawdown limit. Actual portfolio maximum drawdown must not exceed 25.0% over the available portfolio history.

4.2 Path construction. The maximum drawdown calculation must follow the historical portfolio path. When portfolio weights change, the new weights become effective from the corresponding portfolio snapshot date. The calculation must therefore use changing historical weights rather than applying the latest portfolio weights to the entire past period.

4.3 Interpretation. Maximum drawdown is measured as the largest peak-to-trough decline in the cumulative portfolio value path. A maximum drawdown greater than 25.0% constitutes a policy breach.

5. Compliance Assessment and Breach Handling

5.1 Overall compliance. A portfolio is compliant only if every applicable hard limit in Sections 2, 3, and 4 is satisfied. Monitoring warnings, such as the correlation threshold in Section 2.4, should be reported but do not by themselves change the portfolio compliance status.

5.2 Required explanation. A compliance report should identify each metric tested, the calculated value, the applicable policy limit, whether the test passed or failed, and the policy section or page supporting the rule.

5.3 Missing information. If a required metric cannot be calculated or a relevant policy rule cannot be reliably retrieved, the system must state that the compliance assessment is incomplete rather than assume compliance.

5.4 Breach handling. Any hard-limit breach shall be escalated to the risk manager. The portfolio should not be described as compliant while an unresolved hard-limit breach remains outstanding.

Quick Reference

Check	Threshold	Status type
Annualized volatility	$\leq 20.0\%$	Hard limit
Historical VaR 95%	$\leq 2.5\%$	Hard limit
Historical VaR 99%	$\leq 4.0\%$	Hard limit
Largest asset risk contribution	$\leq 40.0\%$	Hard limit
Uniform -15% stress loss	$\leq 12.0\%$	Hard limit
Actual maximum drawdown	$\leq 25.0\%$	Hard limit
Pairwise asset correlation	> 0.85	Warning only

End of policy.